powers that had splintered from or supplanted the declining Mughal Empire: Mysore, the Marathas, Nepal, Burma, the Afghans, and the Sikhs. In 1803, British forces reached Delhi. Furthermore, the Doctrine of Lapse promoted by Governor-General Lord Dalhousie was used to annex Indian states where succession was in question. These efforts at Company expansion were not all unmitigated successes. In fact, the Mughals, Mysore, Marathas, and Afghans all imposed military defeats on the British, in a few cases with French assistance. [71] But none of these defeats of the British military were decisive enough to be completely irreversible.

An Extractive Enterprise: The British Raj, 1857–1947

The rebellion of 1857 against Company rule—which spread rapidly across many parts of India—marked a major turning point. It resulted in the Government of India Act of 1858, which made India a colony of the British Crown. The Mughal Empire came to a formal end with the trial and exile to Rangoon of the last Mughal Emperor Bahadur Shah Zafar II. For the next ninety years, Britain ruled most of India directly or claimed suzerainty over a large number of princely states. An India Office under a secretary of state for India was established in London to manage India policy, while the governor-general of India was now considered a viceroy. India was now under the rule of the British Raj.

Under both Company and Raj rule, India's contact with the world altered in various ways. First, the prior religious, economic, and cultural links with Southeast, Northeast, Central and West Asia were fundamentally disrupted. Instead, India's international economic and social exchanges evolved into interactions within colonial networks. These extended to Europe and Britain's other colonies—from the Caribbean to Africa and Malaya—as well as other areas where Britain had commercial interests such as China, the Arab world, and the United States. With China, at first, Indian cotton was sold for tea, and proceeds from this trade paid for British supplies and military expenditure in India. However, declining demand for Indian cotton in Qing China as a result of an economic downturn and import substitution